Cambridge
O Level

Cambridge International Examinations
Cambridge Ordinary Level

CANDIDATE NAME

CENTRE NUMBER

CANDIDATE NUMBER

8450890075

BUSINESS STUDIES **7115/22**

Paper 2 **May/June 2015**

1 hour 30 minutes

Candidates answer on the Question Paper.

Additional Materials: Insert.

READ THESE INSTRUCTIONS FIRST

Write your Centre number, candidate number and name in the spaces at the top of this page.
Write in dark blue or black pen.
You may use an HB pencil for any diagrams, graphs or rough working.
Do not use staples, paper clips, glue or correction fluid.
DO **NOT** WRITE IN ANY BARCODES.

Answer **all** questions.
The Insert contains the case study.
The business described in this question paper is entirely fictitious.

At the end of the examination, fasten all your work securely together.
The number of marks is given in brackets [ ] at the end of each question or part question.
The total number of marks for this paper is 80.

This document consists of **9** printed pages, **3** blank pages and **1** Insert.

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CAMBRIDGE International Examinations

1 **(a)** Samah and Selina wrote a business plan before FF started trading 5 years ago. Identify and explain **two** ways their business plan might have helped to make the business successful.

Way 1: .....

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Explanation: .....

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Way 2: .....

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Explanation: .....

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(b) Consider the advantages to FF of employing full-time workers and the advantages to FF of employing part-time workers. Do you think a combination of these two types of workers would be best? Justify your answer.

Advantages of full-time workers: .....

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Advantages of part-time workers: .....

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Conclusion: .....

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2 **(a)** Identify and explain **two** benefits to FF of targeting a specific market segment for its products.

Benefit 1: .....

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Explanation: .....

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Benefit 2: .....

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Explanation: .....

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(b) Samah and Selina will want to promote the new flavour of ice-cream. Consider the advantages and disadvantages of the following **three** methods of promotion. Recommend which is the best method for Samah and Selina to use. Justify your answer.

Advertising on social networks: .....

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Handing out leaflets with a discount offer on them: .....

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Giving out free samples in shopping malls: .....

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Recommendation: .....

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3 **(a)** Samah and Selina are considering buying ingredients from another supplier called ABC (see Appendix 2). Identify and explain **one** advantage and **one** disadvantage to FF of changing to ABC.

Advantage: .....

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Explanation: .....

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Disadvantage: .....

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Explanation: .....

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(b) Samah and Selina want to start selling a new flavour of ice-cream. Consider the **two** options outlined in Appendix 3. Recommend which one they should choose. Justify your answer.

Option A: .....

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Option B: .....

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Recommendation: .....

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4 **(a)** The Government of country X has recently increased interest rates. Identify and explain **two** ways an increase in interest rates might affect FF.

Way 1: .....

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Explanation: .....

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Way 2: .....

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Explanation: .....

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(b) A multinational food company is producing and selling its products in country X (see Appendix 1). Consider the advantages and disadvantages to FF of this multinational operating in country X. Do you think it is beneficial to FF? Justify your answer.

Advantages to FF: .....

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Disadvantages to FF: .....

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Conclusion: .....

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